

So after those initial trades at the wrong price, you didn't do much at all. I guess you just quoted prices down far enough to make sure you wouldn't get any more sell orders.

That is exactly right. My book—the book I had taken over for the week—lost several million pounds that day. The German trader was short everything, so he made several million pounds.

He sounds like a smart fellow.

He was a smart guy. Years later I employed him. Actually, years later, I also employed the trader who ran the Scandinavian book, who was my boss.

From that point on, I began to trade other books in the European area when people were on holiday. I eventually became the most profitable trader in the group.

How? What were you doing that made you so profitable?

I was very proactive in orientating the book. If I was in something that was wrong, I would cut it. I wouldn't defend it. I wouldn't average down. I would just cut it, cut it, cut it.

What does being proactive mean for a market maker?

I was very active in positioning myself. I would trade around news, trying to orientate myself on the right side of the market. I would develop my own views on stocks and be happy to run with those views. Also, I was so inexperienced that I didn't have the fear—the fear that cripples people who have been in the business too long. I have seen that so many times. Very few people maintain their ability to take risk throughout their career. Most don't. Most can't. They have had too many bad things happen to them, too many fat tails, and it damages people.

Not having fear and cutting positions when they are going against you speak to a willingness to take risk and an ability to control risk. But to make money, you still have to be on the right side of the market, which raises the question: How were you calling the directional moves to have some sort of an edge?

You have to go back to the facts. What do you know? If you know there is a buyer for XYZ stock at some price below the market, you know one